and even staple merchandise have suddenly proven unsalable, business men have been able to tide themselves over with cash derived from the sale of their securities on the Stock Exchange. It is especially important from the standpoint of national business to have a market of this sort where securities can be speedily sold. For securities, as far as their holder is concerned, represent a surplus, and in consequence the New York Stock Exchange represents a market for the national surplus of wealth. Like all other surpluses, it grows in times of prosperity and is drawn upon in days of adversity. In fact, the same economic forces which cause the upward and downward movements in our individual surplus wealth are responsible for the major upward and downward movements in security prices on the Stock Exchange. It is of course desirable that these alternations between increasing and decreasing our surplus should be attended with as little violence or strain as possible—or, to put the matter in a slightly different way, that the movement of the Stock Exchange security prices should be stabilized. But we must realize at the outset that any program for such an extreme stabilization of security prices as would prevent the full usefulness of our surplus, would be a delusion in the first instance and tremendously harmful to all business in the second. As a prominent financier of the preceding generation used to point out, the only reason for maintaining a surplus is to use it. If American business in times of adversity expects to gain stability for itself by dumping its surplus security investments on the Stock Exchange markets, it must not complain if the prices in these markets experience a considerable fluctuation as a result.

It is important to note that the Stock Exchange performs the same stabilizing services in this regard for banks that it does for individual investors. The banks of this country hold very large amounts of government and corporate bonds, and these are mainly liquid assets because so many of them can be instantly sold upon the Stock Exchange. Just as the stability of general business is largely dependent upon the liq-